Stock pitch · Systematic value portfolio, new position December 2025

BNP Paribas

Euronext Paris: BNP · Financials · France · Price €87.65 (29 Oct 2026)

OVERWEIGHT · upgraded

A 13% RoTE bank at 0.8x tangible book and a ~7% yield: the French sovereign discount has gone too far relative to the bank's own delivery.

Noah Doose · 29 October 2026 · Student research for interview purposes, not investment advice. Not affiliated with, endorsed by or prepared for any firm.

Macro context: why French banks sold off

BNP fell about 20% in September-October 2026 without any company-specific news.

French sovereign stress: 10-year OAT around 4.9% and an OAT-Bund spread near 155 bp weigh on all French financials.

Energy shock: Brent around $115 with the Middle East conflict raises recession and credit-cost fears in Europe.

Rates: higher long rates help net interest income but raise the cost of equity investors apply to banks.

Our reading: the move is a country and sector de-rating; BNP's own numbers improved over the same period (Q3 net income +13.5%, RoTE 13.2% year to date).

Source: Ideal Investisseur and press (Oct 2026), market context to verify at the terminal; BNP Paribas Q3 2026 results (28 Oct 2026)

Our convictions

	View	Change vs previous	Why
European banks	Positive	=	Capital surplus, rising distributions, valuations below book
French banks	Neutral	↓	Sovereign spread risk, tax surcharge
BNP Paribas	Overweight	↑	Delivery above targets, diversified model, buyback restarting
Key risk to the view	OAT-Bund spread	—	A widening beyond ~200 bp would reset the cost of equity

Positioning: bought at the December 2025 rebalance (score rank 5 of 203 financials); we keep the position and would add on a further sovereign-driven sell-off.

Source: own views; pipeline selection at 31/12/2025 (outputs/portfolio/selections.csv)

Investment case in three points

1. Delivery ahead of plan. 9M 2026 RoTE 13.2% vs a ~12% 2026 target; cost/income 59.0% vs ~60%; EPS +20% year on year. The 2028 targets were raised in February (RoTE > 13%, cost/income < 56%).

2. Capital is coming back to shareholders. 60% payout for 2026 (≥ 50% dividend + 10% buyback), €1.3bn buyback from November 2026, and from 2027 any CET1 above 13% to be distributed.

3. The price assumes the opposite. At 0.8x tangible book and ~7x earnings, the market prices a RoTE below the cost of equity — while the bank earns 13%.

Source: BNP Paribas Q3 2026 results (28 Oct 2026) and FY2025 results with 2028 targets (5 Feb 2026)

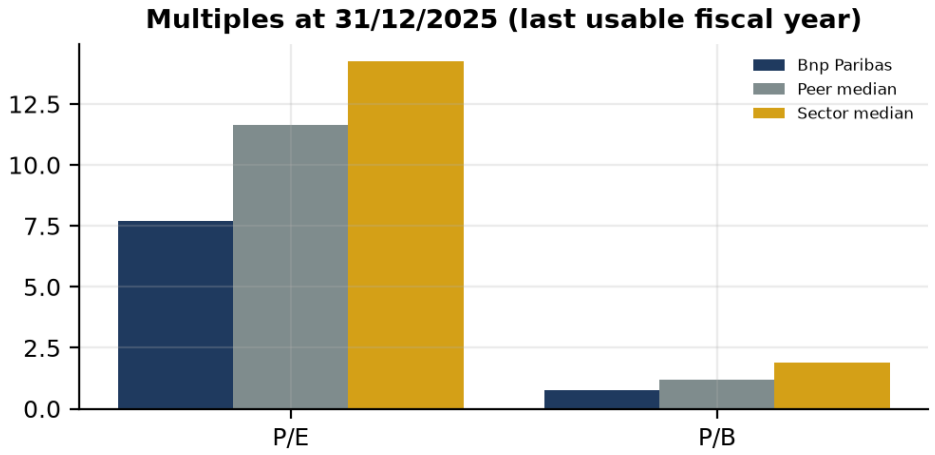
Business and recent results

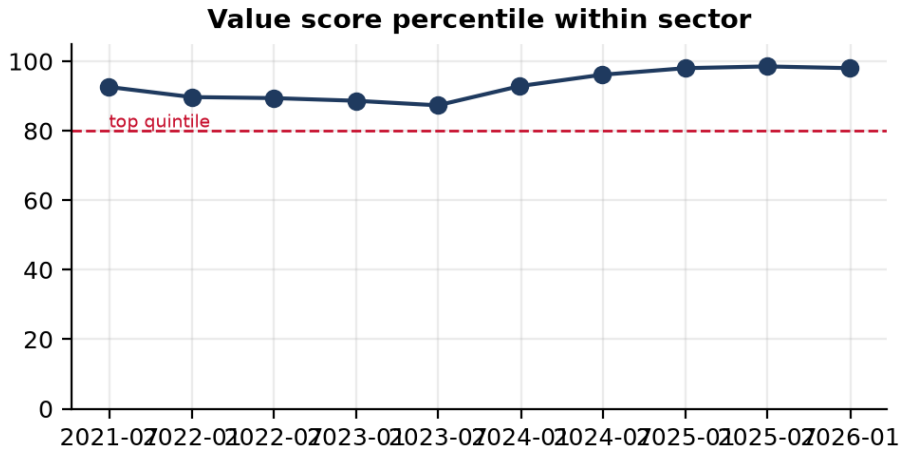
€m	FY2025	9M 2026	Q3 2026
Revenues	51,223 (+4.9%)	41,904 (+10.0%)	13,757 (+9.5%)
Cost/income	61.2%	59.0%	58.3%
Cost of risk	36 bp	—	39 bp
Net income, group share	12,225	11,018	3,456 (+13.5%)
RoTE	11.6%	13.2%	—
CET1	12.6%	12.9%	>13% expected end-2026

Model: three pillars — Commercial, Personal Banking & Services; Investment & Protection Services (incl. AXA IM since July 2025); Corporate & Institutional Banking (~38% of revenues). 9M 2026 includes one-offs (€858m Ageas/AGI gain, €372m Allfunds revaluation, −€365m legal risk).

Source: BNP Paribas FY2025 results (5 Feb 2026), Q3 2026 results press release (28 Oct 2026)

Valuation vs peers





At the December 2025 rebalance BNP traded at P/B 0.78x and P/E 7.7x, against 1.20x and 11.6x for Société Générale, Crédit Agricole, Deutsche Bank, Santander, ING and UniCredit.

Third-party today: P/E 7.1x 2026e, P/TBV 0.81x, dividend yield 6.8% 2026e.

The score had been in the top quintile since 2023; the bands only made room for it in December 2025.

Source: pipeline (multiples on last usable fiscal year at 31/12/2025, Bloomberg-derived); MarketScreener and StockAnalysis (29 Oct 2026)

Valuation: justified price to tangible book

Justified P/TBV = (RoTE − g) / (cost of equity − g), with g = 2%.

Scenario	RoTE	Cost of equity	Justified P/TBV	Value / share	vs €87.65
Bear	10.0%	12.0%	0.80x	€79	-10%
Base	12.0%	11.5%	1.05x	€104	+19%
Bull	13.5%	10.5%	1.35x	€134	+52%

Inputs: tangible book per share ≈ €98.7 (third-party, Q2 2026 — to verify in the Q3 slides). Bear: RoTE back to 10% with a higher French risk premium. Base: 2026 target met. Bull: 2028 plan delivered.

Plus distributions: ~7% dividend yield and ~1.4% buyback a year come on top of any re-rating.

Consensus: 19 analysts, average target €119.8 (third-party).

Source: own calculations; MarketScreener, StockAnalysis, third-party TBVPS (29 Oct 2026)

Catalysts

November 2026: €1.3bn buyback starts (~1.4% of market value).

Q4 2026: BMCI (Morocco) sale closes, about +15 bp of CET1; CET1 above 13% at year-end.

2 February 2027: 2030 strategic plan — new RoTE and distribution targets, use of the capital surplus.

2027: possible Allfunds disposal gain (~€400m); appeal ruling in the Sudan case (timing unknown).

Source: BNP Paribas Q3 2026 results and press releases (Sep-Oct 2026)

Risks

Sovereign: a wider OAT-Bund spread raises funding costs and the market's required return on French banks.

Litigation: a US jury found BNP liable in the Sudan case (Oct 2025); the appeal is pending and no provision is booked. A loss could open class-wide damages.

Credit and markets: cost of risk above 40 bp; normalisation of record capital-markets revenues; used-car prices at Arval.

Regulation and tax: Basel IV/FRTB, French corporate surtax.

We would exit if: 2026 RoTE comes in below 12%, the 2030 plan cuts the 2028 targets, CET1 falls below ~12.5% and buybacks stop, or the Sudan appeal fails with a material provision.

Source: BNP Paribas results releases; press on the Sudan litigation (Oct 2025 - May 2026)

Place in the portfolio

2%	4%	+26.2%	+10.8%
equal-weight portfolio	mean-variance portfolio (cap)	H1 2026 total return (EUR)	MSCI World Net EUR, H1 2026

Financials were the largest source of stock-selection gains in the backtest (+1.5% a year).

BNP brings France and euro-area banks to a portfolio that is 9 points underweight the US; no FX hedge is needed (EUR).

The H1 2026 gain was partly given back in the autumn sell-off: the valuation case is stronger now than at purchase.

Source: outputs/portfolio/weights_*.csv; outputs/risk/brinson_gics_EW_total.csv; pipeline returns net of withholding tax

Sources

[B1] BNP Paribas, Q3 2026 results press release, 28 Oct 2026 — invest.bnpparibas (accessed 29 Oct 2026)

[B2] BNP Paribas, FY2025 results and 2028 targets, 5 Feb 2026 (accessed 29 Oct 2026)

[B3] Press coverage of the Sudan litigation, Oct 2025 - May 2026 (accessed 29 Oct 2026)

[B4] MarketScreener, BNP Paribas consensus and multiples, 29 Oct 2026 (third-party)

[B5] Press coverage of Q2 2026 results, 23 Jul 2026 (accessed 29 Oct 2026)

[B6] StockAnalysis, BNP Paribas statistics, 29 Oct 2026 (third-party)

[B7] Ideal Investisseur, price, range and news, 29 Oct 2026 (third-party)

[B8] Third-party tangible book value estimate at Q2 2026 (to verify)

[B9] Market context: OAT yields and spreads, Oct 2026 (press, to verify at the terminal)

Portfolio Project pipeline: score, multiples (Bloomberg-derived), weights and returns

To provide (pitches/sources/BNP_FP/A_FOURNIR.md): Q3 2026 and Q4 2025 slides, URD 2025, Q2 2026 release; TBVPS.